WELCOME TO TERM THREE OF 2024 AQUACULTURE COURSE (SA220)





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NOTICES

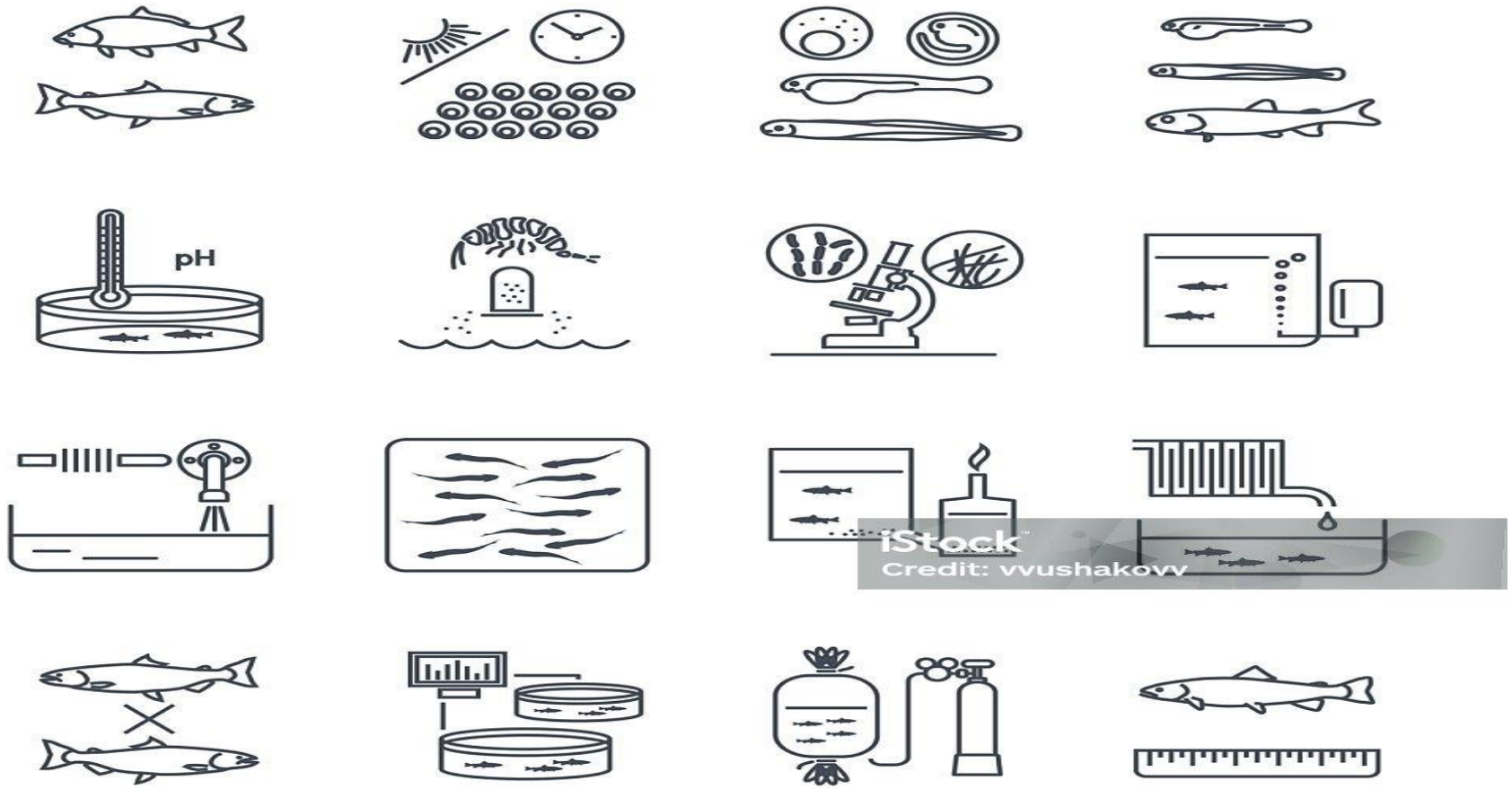
- We shall have a test 3
- We shall have an assignment (Class based)
- Class notes are encouraged
- We shall do revisions (Question based) student led

PRESENTATION-JOSEPH CHUMA

- 5 MINUTES PRESENTATION
- 5 MINUTES QUESTIONS

- Initial marks to be allocated by the class reps and the group leader

AQUACULTURE ENTERPRENEURSHIP



AQUACULTURE VALUE CHAIN

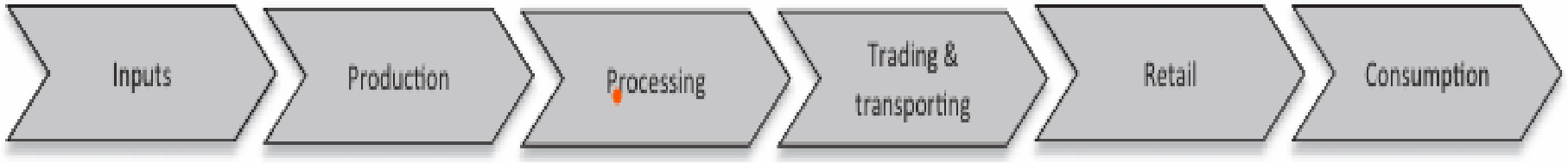
What is the meaning of Value chain?

The set of intertwined businesses and actors that participate in the coordinated production and value-adding activities needed to make products that consumers are prepared to purchase.

What is aquaculture value chain?

AQUACULTURE VALUE CHAIN

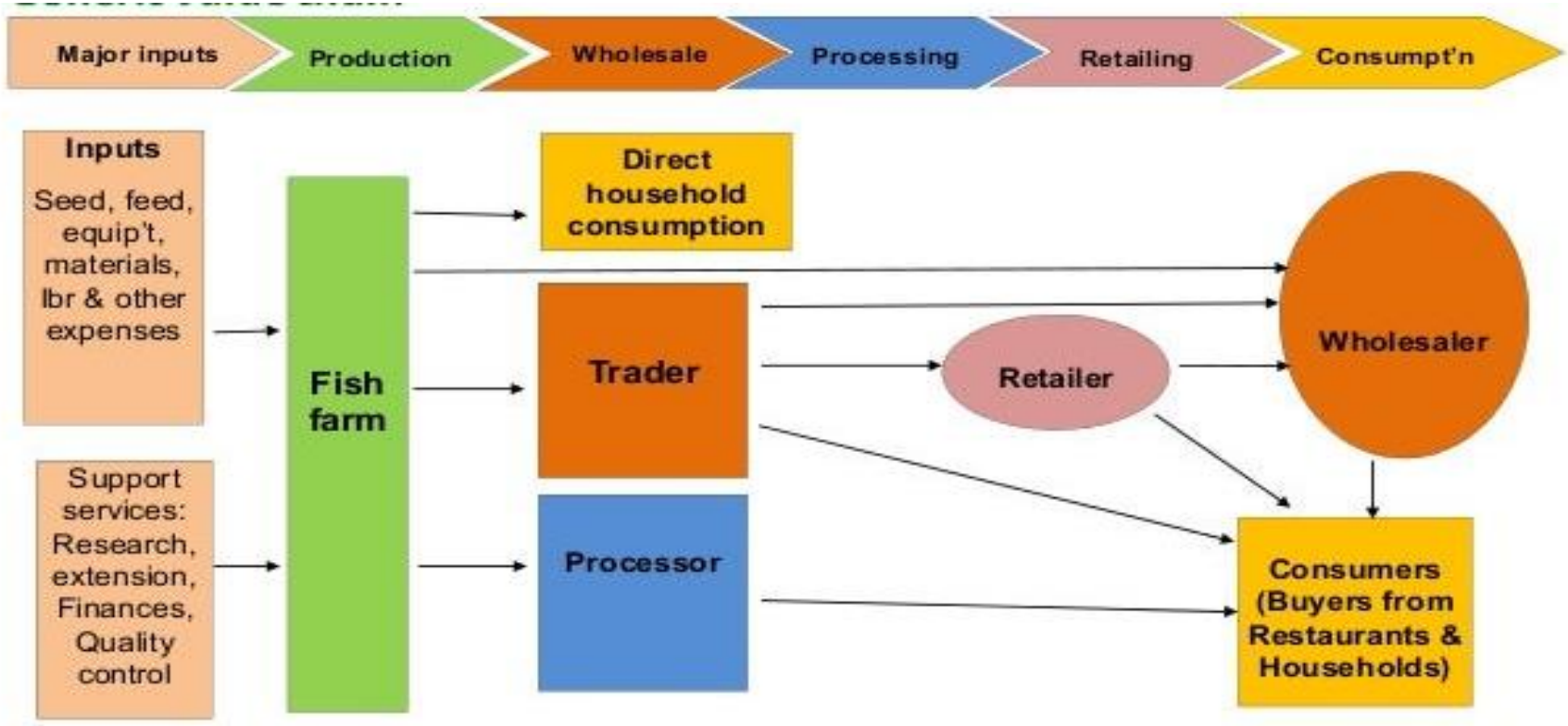
Generic aquaculture value chain.



Adapted (Kaminski et al., 2018). https://doi.org/10.1016/j.aquaculture.2017.12.010

AQUACULTURE VALUE CHAIN

Generic aquaculture value chain.



AQUACULTURE VALUE CHAIN

- Aquaculture value chain focuses on improve business linkages through out the chain in order to make the chain perform better and in a competitive manner.
- **Caution:** The performance of one actor is affected by the actions of the others, which results in either a good or poor performance of the entire chain.

AQUACULTURE VALUE CHAIN

- **MERITS OF A FUNCTIONAL AQUACULTURE VALUE CHAIN**
- Benefits differ depending on a given player or actor in the Value chain for instance,
  - The benefits for a small farmers would; increased income, secure linkages to markets, and access to new services to aid production.
  - But for a Processors, improved quality and flow of raw materials, reduced transaction costs would be the merits that they obtain from the value chain.

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AQUACULTURE VALUE CHAIN

❑ MERITS OF A FUNCTIONAL AQUACULTURE VALUE CHAIN

- Further, for a traders, having access to reliable supply of products, higher quality products maybe some of the advantages of the a value chain that is properly functional
- To the Government, it reduces the regulatory burden and is an avenue for local resources mobilisation through tax.

ENTERPRENEURSHIP

- **WHAT IS ENTERPRENEURSHIP?**

ENTERPRENEURSHIP

❑ WHAT IS ENTERPRENEURSHIP?

- Entrepreneurship is about creating or establishing a business.
- Entrepreneurship is a dynamic, social process where individuals, alone or in collaboration identify financial opportunities and act upon them by establishing new enterprises.
- But it is more than simply starting or operating a small business because it is both a science and an art.

ENTERPRENEURSHIP

- **WHAT IS ENTERPRENEURSHIP?**
- The process of identifying business opportunities, allocating resources, and taking risks to produce goods and services of value, through creative and innovative processes, to satisfy unmet consumer demands.

ENTERPRENEURSHIP

❑ **We note that;**

❖Has impact on individuals

❖Provides financial opportunities.

❖ Has an impact on the economic well-being of a society.

❖Requires Innovation.

❖ Is dynamic.

ENTERPRENEURSHIP

- **Who is an entrepreneur?**

An entrepreneur is someone (person) who in pursuit of profits and at a risk makes the most of the opportunities in the environment by combining the expertise and resources of the community in different ways to produce products and services for the market (Cronje et al 2001) .

ENTERPRENEURSHIP

- **Who is an entrepreneur?**

Be a risk taker, Be innovative, Possess business acumen and See potential opportunities in the community.

There are four main process that entrepreneurs have to o through according to Nieman et al. (2003).

ENTERPRENEURSHIP

- **Background to an entrepreneur.**

During the ancient period the word entrepreneur was used to refer to a person managing large commercial projects through the resources provided to him.

In the 17th Century a person who has signed a contractual agreement with the government to provide stipulated products or to perform service was considered as entrepreneur.

ENTERPRENEURSHIP

❑ Background to an entrepreneur.

In the 18th Century the first theory of entrepreneur has been developed by Richard Cantillon. He said that an entrepreneur is a risk taker. If we consider the merchant, farmers and /or the professionals they all operate at risk. For example, the merchants buy products at a known price and sell it at unknown price and this shows that they are operating at risk.

ENTERPRENEURSHIP

❑ Background to an entrepreneur.

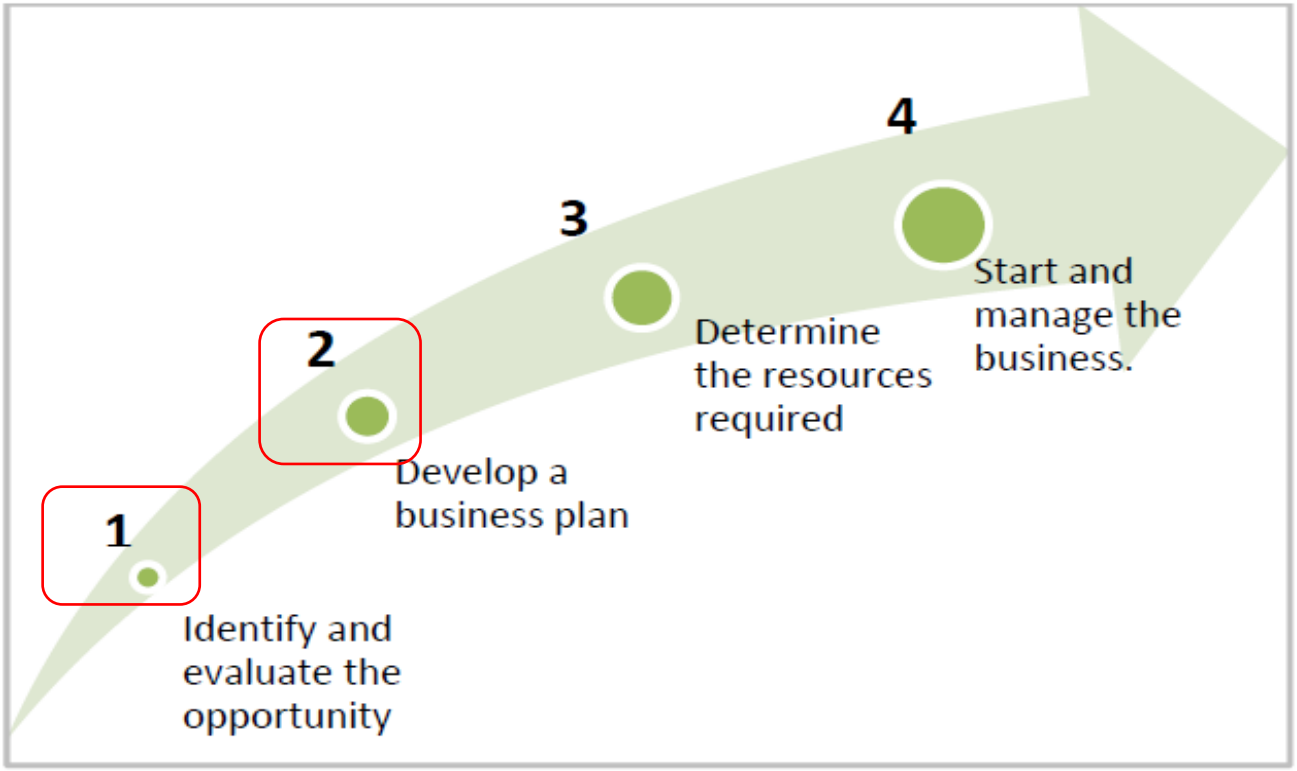
The other development during the 18th Century is the differentiation of the entrepreneurial role from capital providing role. The later role is the base for today's venture capitalist.

In the late 19th and early 20th Century an entrepreneur was viewed from economic perspectives. The entrepreneur organizes and operates an enterprise for personal gain.

In the middle of the 20th and early 21thCentury the notion of an entrepreneur as an inventor was established.

ENTERPRENEURSHIP

- **Who is an entrepreneur?**



The Entrepreneurial Process

ENTERPRENEURSHIP

1. Identifying a Need

- A need can be an opportunity and indeed a consumer buys to satisfy need. Abraham Maslow in his humanistic hierarchy of needs, physical needs to very high personalized needs.
- Therefore identifying an unidentified or unserved need is a sure way of generating business ideas.

ENTERPRENEURSHIP

1. Identifying a Need

- **Brain Storming**

✓ This is a process of detaching analysis of an idea from the actual ideas.

✓ The idea may or may not be related to a given product. In brainstorming even silly and stupid ideas may be generated.

ENTERPRENEURSHIP

1. Identifying a Need

Building on One's Skill, Hobbies or Interests

- ✓ Business ideas can be generated through

1. personal interests and hobbies
2. Copying or improving somebody's ideas (skills)

Sporting a Market Niche

- ✓ Entrepreneurs usually look for gaps in the growing markets, identifying market sections which are not being utilized.

ENTERPRENEURSHIP

1. Identifying a Need

- **Listening to what People say.**
  - ✓ These are people who simply say or speak their needs e.g if these good bus services
    - **Attribute listening**
  - ✓ This method of generating business ideas is based on changing the way one looks at something in order to find a new use for it.
  - ✓ It attempts to answer the question – what do we do with this product.
- **Gaining from Waste**
  - ✓ What would appear waste can be used- say recycles to create a new opportunity.

ENTERPRENEURSHIP

2. Developing a business idea

The Process of Screening a Business Idea.

- ✓ After generating business ideas- it is important that some evaluation through a screening process be made.
- ✓ The screening process is a systematic evaluation ideas in order to select the best idea which would suit one.

ENTERPRENEURSHIP

2. Developing a business idea

The Process of Screening a Business Idea.

- ✓ The screening process must be done carefully, objectively, soberly and without any emotions.
- ✓ The business idea screening is required even when there is only one idea to consider. This is because this is a stage of starting a business that may be not be profitable or may be difficult to run

ENTERPRENEURSHIP

2. Developing a business idea

The Process of Screening a Business Idea.

- ✓ The screening process must therefore evaluate the following

a) **Personal Evaluation**

- the objective for going to business
- personal interests
- The degree of commitment to the business or others e.g. family.

a) **Personal Skills**

- The self SWOT analysis – this aims at analyzing ones

a. Strengths
b. Weaknesses
c. Opportunities
d. Treats

ENTERPRENEURSHIP

2. Developing a business idea

“Strengths” and “Weaknesses” should focus on the internal environment (management, product/service), whilst “Opportunities” and “Threats” should focus on the external environment (economy, market and competitors).

Clearly, it is important that your business idea has significant strengths (or can develop them) and a plan to counter to any weaknesses.

Your business idea should be developed to take advantage of any opportunities and thought should be given to how you would respond to threats.

ENTERPRENEURSHIP

2. Developing a business idea

A SWOT analysis should provide proof to you, your investors and funders etc., of the likelihood of your business succeeding or failing. If your analysis suggests it will fail you need to reconsider your idea.

The screening process or evaluation helps identify;

Strengths: E.g. Distinctive competence, Adequate finances, Access to economies of scale, Good innovation ability, proven management

Weakness: E.g. Lack of key skill , Internal operations problems , Low morale , Poor track records , Weak internal image

ENTERPRENEURSHIP

2. Developing a business idea

The screening process or evaluation helps identify;

Opportunities: E.g. Potential customers , Potential goodwill , A favorable social environment

Threats: Strong competitions , Adverse government policies, Political instability, mismanaged economy , Unfavorable legislation.

ENTERPRENEURSHIP

2. Developing a business idea

d) Market evaluations

The aim is to create assurance of adequate market

The main components include

i.)Consumer demand analysis

ii.) Product price and placements

iii.) No. of competitors in markets.

d) An analysis of availability of raw materials in terms of

e) i) Adequacy ii) Reliability

f) iii) Price

2. Developing a business idea

d) Analysis of providing technology in terms of

i) Appropriateness ii) Affordability

d) An analysis of skills available

Analysis of the government policies.

ENTERPRENEURSHIP

Characteristics of a Good Business idea.

i) Easy to manage and involve minimal risk. ii) Does not require excessive capital investments iii) Offers a good returns on capital iv) The idea has scope for growth, expansion and diversification

v) Comparative with owner's goal and interest vi) Not against expectation of the society v) Has a short gestation period vi) Has a readily available market vii) Easy to exit when necessary.

ENTERPRENEURSHIP

SUMMARY

❖ Entrepreneurship is a business process and the entrepreneur is a person involved in the entrepreneurial process.

❖ Important aspects of entrepreneurship include: identifying an opportunity, innovation and creativity, gathering resources, creating and growing a business, taking risks, being rewarded and managing the business.

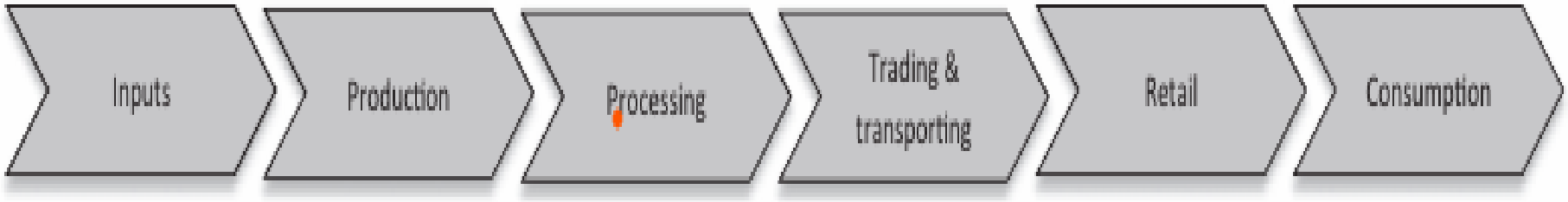
ENTERPRENEURSHIP

SUMMARY

❖ The four steps in the entrepreneurial process are: identifying and evaluating an opportunity; developing a business plan; determining the resources required and then lastly starting and managing a business.

THE ROLE OF ENTREPRENEURSHIP IN SOCIETY

Generic aquaculture value chain.



- Entrepreneurship as a whole contributes to a society's social wealth by creating new markets, new industries, new technology, new institutional forms, new jobs and net increases in real productivity.

THE ROLE OF ENTREPRENEURSHIP IN SOCIETY

- The jobs created by entrepreneurship in turn lead to equitable distribution of income, which results in higher standards of living for the population.
- In this way, the resources available to government also increases, the tax base grows.
- Additional taxes enable governments to improve social services, like hospitals and schools, to enhance infrastructure and to keep law and order.

THE ROLE OF ENTREPRENEURSHIP IN SOCIETY

- The benefits that entrepreneurship can have for society, including individuals, families and the community are provided and discussed by Benade et al. (2011) as follows;

1. Employment opportunities

- Entrepreneurship not only offers self-employment opportunities, but also creates employment for others, often better jobs.
- Self-employment offers more job satisfaction and flexibility of the work force.
- Such job creation initiatives utilise the human resources of the particular country and helps the natural talent materialise.

THE ROLE OF ENTREPRENEURSHIP IN SOCIETY

2. Income generation and fewer social problems

- Successful entrepreneurship activities increase the income level of the average person, and also the standard of living in the community.
- Individuals who search for business opportunities usually create wealth through entrepreneurship.
- This wealth plays a considerable role in the development of a nation.
- If more people are employed more people pay taxes, which means more income for the government.

THE ROLE OF ENTREPRENEURSHIP IN SOCIETY

2. Income generation and fewer social problems

- It also means that the crime rate will go down and the country can become a safer location with more tourists willing to visit the country.
- If tourism increases, more job opportunities will become available and more people will be employed.
- Entrepreneurship can also attract more foreign investment, which in return can also create more job opportunities.

THE ROLE OF ENTREPRENEURSHIP IN SOCIETY

3. Personal Challenge

- Entrepreneurship is a challenging task, but if successful the rewards are worth the effort.
- Rewards for an entrepreneur can be both financial and personal.
- The entrepreneur gains self-satisfaction and confidence as he or she succeeds.

THE ROLE OF ENTREPRENEURSHIP IN SOCIETY

4. Improvements in Industry

- Entrepreneurship leads to the development of more industries, especially in rural areas or regions where there are very few economic activities.
- This does not only mean more goods and services, but also higher quality products, because of healthy competition between the different businesses.

THE ROLE OF ENTREPRENEURSHIP IN SOCIETY

5. Higher productivity and economic growth

- More industries can create higher production at lower prices.
- Entrepreneurship encourages the use of local materials to produce finished goods for domestic consumption, as well as for export.
- Entrepreneurship enables the country to produce more and more goods locally and thereby build its capacity and resources.
- With the new inventions and development in technology, a nation can use its resources more effectively.

THE ROLE OF ENTREPRENEURSHIP IN SOCIETY

5. Higher productivity and economic growth

- If we change our raw materials into consumable goods we add value to our products, which means that we can now receive a much higher price and at the same time create more jobs.
- With the new inventions and development in technology, a nation can use its resources more effectively.

THE ROLE OF ENTREPRENEURSHIP IN SOCIETY

6. Increases in exports and less dependence on imports

- Entrepreneurship leads to the development of new markets.
- If we produce more, we can export products that are not sold locally.
- This means that a country's products can also enter foreign markets.
- From time to time a country's government officials sign agreements with other countries to promote trade.

THE ROLE OF ENTREPRENEURSHIP IN SOCIETY

6. Increases in exports and less dependence on imports

- Currently many developing countries (including small states) rely heavily on imports, especially from the developed nations.
- Exports must exceed imports in order to create an economic advantage.
- Earnings from exports inevitably stimulate the economy.
- These are opportunities that should be taken into account when we are planning and growing our new
- business.